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**What is happening?**
From 1 July 2020 we will be applying negative credit interest rates on deposits held in your Private Banking accounts which exceed certain threshold amounts in EUR, JPY, CHF, DKK and SEK

**What does this mean for me?**
If you hold any deposits in these currencies which exceed the relevant threshold amounts you will incur an ongoing cost to maintain the deposits with us when the relevant interest rates are negative

**Any questions?**
Please contact your Relationship Manager

001/00002025/DM43479
Mrs T B S Marash
41 Middleway
London
NW11 6SH

3750

Ref: 65407

Date: 24 February 2020

Dear Mrs Marash

# Re: Negative Credit Interest Rates on Private Banking Bank Accounts - Changes to your Banking Services Terms and Conditions and Banking Services Schedule of Charges

For some time a number of the world's central banks, such as the European Central Bank (ECB) and Swiss National Bank have adopted monetary policy which has seen them set negative interest rates.

Up to this point we have not passed these negative rates on to our clients, instead keeping credit interest rates at 0%.

**What changes are we making?**

From 1 July 2020 we will be applying negative credit interest rates on Private Banking deposits in EUR, CHF, JPY, DKK and SEK which exceed the following thresholds: EUR3,000,000, CHF3,000,000, JPY360,000,000, DKK22,000,000 and SEK31,000,000.

Negative credit interest will be calculated and applied to your account(s) in the same way and at the same intervals as positive credit interest. However, because the rates are negative the accrued interest will be debited from rather than credited to your account(s). We have provided an illustration showing how the application of negative credit interest rates may affect a deposit which exceeds the threshold in the Schedule to this letter.

The negative rates will be applied to any deposit which exceeds the threshold in its entirety not just to the excess amount.

In applying negative credit interest we will use the public reference rates to which our Private Banking base rates for the relevant currencies are linked. Details of these rates are set out in our Banking Services Schedule of Charges. The rates are variable so any negative credit interest rate will change in line with movements in the relevant reference rate and negative credit interest will not be charged where the relevant reference rate is zero or above.

Continued...


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